

The Sale of an Investment Property

"As I mentioned early on, investors are going to be concerned about their return on investment, or ROI," Mike said. "The final word on ROI is when they sell the investment. This is when any profits they've earned are realized. Profits are called gains, or in IRS-speak, capital gains. Taxes are owed on capital gains, and although they can be deferred, which we'll talk about in a minute, they can't be avoided altogether.

Reversion (Sale)

To calculate adjusted basis:

$$\text{Basis (purchase price + closing costs) + Improvement costs made during ownership - Accrued depreciation = Adjusted Basis}$$

To calculate a gain or loss when selling an investment property:

$$\text{Net Sales Proceeds - Adjusted Basis = Capital Gain/Loss}$$

"To figure out the actual profit, or gain, you take the purchase price plus closing expenses- which is your basis-and the cost of any improvements made to the property during the time of ownership, then subtract any depreciation you've already taken, which gives you your adjusted basis. You then subtract your adjusted basis from the sales price. No matter how bad you are at math, the number you'll end up with is going to be either a gain or a loss.

"So let's say your client bought the property for \$250,000 and closing costs were \$5,000. He put in a second parking lot, a garage, and new balconies, which ended up being \$100,000 in capital improvements. During his holding period, he took \$20,000 depreciation on the property. Then he sold the property for \$475,000." Mike used the white board to do the calculation:

$$\begin{aligned} \$250,000 + \$5,000 &= \$255,000 \text{ acquisition costs} + \$100,000 \text{ capital improvements} = \$355,000 - \$20,000 \text{ depreciation} \\ &\text{already taken} = \$335,000 \text{ (adjusted basis)} \end{aligned}$$

$$\$475,000 - \$335,000 \text{ adjusted basis} = \$140,000 \text{ capital gains}$$

"From the \$475,000, you can also deduct costs of the sale, such as brokerage fees, closing costs, surveys, etc., so your capital gains would be slightly less than this.

"An easier way to state all this is that net proceeds from the sale minus adjusted basis equals capital gains or loss."

A student raised her hand. "Can you tell us, what the capital gains tax would be for that example?"

"Ah, good question and perfect timing. Let's discuss long-term and short-term gains, and recapture.

"Federal tax rules classify capital gains into one of two camps: **long-term** or **short-term**. To qualify for the more favorable tax treatment of long-term gains, you have to have held the property for one year or longer. Short-term gains, then would be anything held for less than a year.

"A **short-term gain** is taxed as ordinary income. A **long-term gain** is taxed at a maximum of 15% unless the taxpayer falls into the lowest tax brackets of 10-15%, in which case long-term gains are zero, or the highest tax bracket, which sees a long-term capital gains tax of 20%. Most investors will fall into the 15 or 20% long-term gains tax.

"There's also a new tax, which I alluded to earlier-a 3.8% tax on net investment income. This tax was put into play in 2013 and impacts investors with net investment income whose adjusted gross income is over the amounts on the Reversion (Sale) table in our presentation."

Reversion (Sale)

3.8% Net Investment Income Tax Income Thresholds

Filing Status	Threshold Amount
Married filing jointly	\$250,000
Married filing separately	\$125,000
Single	\$200,000
Head of household	\$200,000
Qualifying widower with dependent child	\$250,000

"Net investment income applies to the gain from the sale of investment real estate, which includes, by the way, the gain from the sale of a second home that is not a primary residence, something you should know for your non-investor clients with second homes.

"Now, let's talk recapture. **Recapture** means it's time to pay the piper. At sales time, any depreciation that you've taken over the years that has reduced your tax liability will have to be repaid. Any amount depreciated will be taxed at the time of sale by 25%. Not terrible, but it's nobody's idea of a good time, either.

"So let's say, using our previous example, that our client has realized a gain of \$140,000. The depreciated amount was \$20,000. Our investor will pay 25% on the \$20,000 and either 15 or 20% on the other \$120,000."